Parametric cover offer for next season

Reference	**LP-COV-L004-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Campo Santa Elena S.A. (borrower)**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Campo Santa Elena S.A. (F004)**	Loan	**L004 · Crop input loan · $105,000**

Offer of parametric drought cover on soy for the next season, sum insured $105,000, indicative premium $18,736 (17.8% of the sum insured).

1. Proposed cover

Index	**SPI-60 (60-day standardised precipitation index) at the field**	Window	**Flowering, Pod fill: weeks 10 to 16 after sowing**
Strike (payout starts)	**SPI-60 below -1.5**	Exit (full payout)	**SPI-60 at or below -2.5; linear in between**
Sum insured	**$105,000 (= loan amount)**	Payout routed to	**loan L004 (assigned to the bank)**
Existing cover	**none**	Region / crop	**Santa Fe · Centro / soy**

Trigger in words: SPI-60 < -1.5 between flowering and pod fill for soy in Santa Fe · Centro. In 2022/23 the 6 monitored soy fields in this region had a median window minimum SPI-60 of -1.64 (worst -2.41).

2. What it would have paid

Season	Field yield vs trend	Payout on a $105,000 cover
2022/23 (this season, to date)	-35% expected	**$95,550 (measured: lowest SPI-60 in window -2.41)**
2017/18	-37%	$105,000
2008/09	-29%	$75,146
2011/12	-27%	$65,026
2001/02	-25%	$52,914
2003/04	-16%	$4,568
2002/03	+18%	-
2004/05	-8%	-
2005/06	+10%	-

Seasons 2001/02 to 2021/22: 5 of 21 would have paid (the 8 largest are listed); average yearly payout (burn rate) $14,412 = 13.7% of the sum insured. Method note: the SPI record of past seasons is not stored in the analysis, so a past season counts as triggered when the field's yield fell more than 15% below its trend (full payout at -35%), a proxy for the SPI trigger; 2022/23 uses the measured SPI-60.

3. Premium indication

Item	USD	% of sum insured
Expected payout (21 history seasons)	$14,412	13.73%
Loading	x 1.3	
Indicative premium	$18,736	17.84%
Memo: burn rate including 2022/23	$18,100	17.24%

Indicative only: an insurer prices with its own models and reinsurance cost. The premium is not committed until a policy is issued; the offer would be financed within the next loan.

4. Acceptance

Borrower	Bank officer	Insurer
Name / date:	Name / date:	Name / date: